

Indies—to pursue the gold deposits that were presumed to exist in the great North American territory of Louisiana. There was no evidence of the gold, but this, as ever in such episodes, was no time for doubters or doubting. Shares of the company were offered to the public, and the response was sensational. The old bourse in the Rue Quincampoix was the scene of the most intense, even riotous, operations in all the history of financial greed. Eventually selling and trading were moved to the more spacious Place Vendôme and on to the neighborhood of the Hôtel de Soissons. So determined were some women purchasers that, in an interesting modern touch, they offered themselves for the right to buy shares. In the 1980s, in a slight variation, some vulnerable clients of Michael Milken and Drexel Burnham Lambert who attended the annual Predators' Balls, as they were denoted, at the Beverly Hills Hotel were said to have had the attention of appropriately ascetic prostitutes. This was meant to encourage them in the purchase of junk bonds, many of which were comparable in prospect to the shares in the Compagnie d'Occident.

The proceeds of the sale of the stock in the Mississippi Company went not to search for the as yet undiscovered gold, but to the government for its debts. The notes that went out to pay the debt came back to buy more stock. More stock was then issued to satisfy more of the intense demand, the latter having the effect of lifting both the old and the new issues to ever more extravagant heights. All the notes in this highly literal circulation were, it was presumed, backed by coin in the Banque Royale, but the amount of the coin that so sustained the notes was soon minuscule in relation to the volume of paper. Here was leverage in a particularly wondrous form.

In 1720, the end came. The leverage went sharply into reverse, as was to be the experience in a hundred such occurrences, great and small, in the next 250 years. The precipitating factor, it is said, was the decision of the Prince de Conti, annoyed by his inability to buy stock, to send his notes to the Banque Royale to be turned in for gold. According to highly improbable legend, three wagons carried the metal back to him, but the Regent then intervened at Law's request and ordered the Prince to return it all. Meanwhile others were seized by the thought that gold might be better than notes. To restore confidence and assure noteholders and investors that a goodly supply of the metal would be forthcoming, a battalion of Paris mendicants was recruited, and the members were equipped with shovels and marched through the streets of Paris as though on the way to mine the